WATCH / DEFER

Microsoft has strong cloud growth and a large contracted-revenue base. The unresolved question is whether AI-infrastructure spending can normalize while cloud growth, margins, and cash conversion remain strong.

FCFF DCF	Peer P/E range	Key monitoring
$541.74/share	$435-$556/share	Capex + cloud margins

What changed

Edition A was a filing-based research thesis. Edition B adds a five-year FCFF DCF, reverse DCF, peer comparison, linked pro-forma, and one-at-a-time sensitivity analysis. The recommendation did not change, but the evidence behind it became more specific and testable.

Conditional conclusion

Do not initiate today. Revisit the decision after reported results show whether capex can normalize without weakening cloud growth, cloud margins, or cash-flow conversion.

Document map

Page 2 preserves the Edition A baseline. Page 3 summarizes the completed Edition B work. Page 4 records the A-to-B changes and sensitivity evidence. Page 5 states the decision, monitoring triggers, and sources.

Initial thesis

Microsoft merited full valuation work because FY2026 results showed cloud-led growth and a large contracted-revenue base. The initial stance was Watch/Defer because no intrinsic-value range, market-price comparison, normalized free-cash-flow forecast, or explicit capex analysis had yet been completed.

Known baseline facts

FY2026 revenue $331,839m	Operating income $155,237m	Azure growth 41%
Commercial RPO $678bn	Cash + investments $76,843m	Total debt $40,294m

Central uncertainty

AI infrastructure could absorb cash flow and pressure cloud margins faster than revenue growth converts into durable per-share value. Azure growth and RPO provided useful demand indicators, but neither proved margin durability or cash-flow support.

Baseline research plan

Build a revenue-to-FCFF bridge; establish growth, margin, reinvestment, tax, WACC, and terminal assumptions; test capital-intensity reversal conditions; complete the enterprise-to-equity bridge; compare intrinsic value with peers; and identify evidence that could reverse the view.

Valuation evidence

Five-year FCFF DCF

$541.74/share

September 10 calculation; 8.0% WACC; 3.5% terminal growth

Peer P/E comparison

$435.11-$556.30/share

September 1 prices and annual GAAP diluted EPS

What the work added

1. A five-year FCFF DCF and reverse DCF made the cash-flow assumptions and price-implied growth explicit. 2. A peer P/E comparison added a market-based cross-check using Oracle and qualified Alphabet evidence. 3. A linked pro-forma modeled revenue, margins, PP&E, depreciation, cash, and FCFE. 4. Sensitivity analysis tested revenue growth and AI/cloud capex intensity one at a time.

Important limitation

Do not average the models

The FCFF DCF and simplified FCFE pro-forma use different cash-flow and discount-rate conventions. Their values are evidence with different limitations, not inputs to a mechanical average.

Peer-policy judgment

Oracle was used because of meaningful cloud, software, and recurring-support economics. Alphabet was qualified rather than treated as a direct peer because advertising dominates its consolidated earnings. The peer range is informative, not proof of fair value.

Recommendation

Edition A: Watch/Defer

Edition B: Watch/Defer, now supported by explicit valuation and evidence conditions

Material changes

No material change in the recommendation. The material change was in evidence: no per-share value became a DCF estimate and peer reference range; qualitative capex risk became an explicit pro-forma and sensitivity test; and an open next-earnings question became observable monitoring conditions.

Sensitivity evidence

Revenue-growth span	Capex span	Capex value span
$48,015.6m op. profit	$38,525.6m FCFE	$64.37/share

Interpretation

Over the selected ranges, revenue growth is the larger operating-profit driver. AI/cloud capex intensity is the larger FCFE and value-per-share driver because it directly changes cash reinvestment. These are sensitivity results over stated ranges, not probability estimates or universal driver rankings.

Primary driver of the research change

Coursework and personal analysis moved the project from a filing-based thesis to tested valuation outputs. Source facts and model conventions were checked against the FY2026 Form 10-K, the committed code, and the executed output.

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Committee ask

Do not initiate a position today. Revisit after the next results provide evidence on capex normalization, cloud-margin recovery, and cash-flow conversion.

What would change the view

Initiate only if updated results support capex normalization while cloud growth and margins remain consistent with the forecast cash-flow path, and a consistently normalized enterprise-cloud peer comparison supports value above the market price.

Failure conditions

Capex stays elevated longer than forecast. Cloud growth slows before scale benefits improve margins. Microsoft Cloud margins do not recover. A normalized enterprise-cloud peer comparison fails to support value above market price.

Monitor next

Quarterly AI-infrastructure capex as a percentage of revenue, cloud growth, cloud-margin performance, cash-flow conversion, and a sourced normalized-EPS reconciliation for Microsoft and admitted peers.

Source and reproducibility index

Microsoft FY2026 Form 10-K; research/reports/2026-09-01-initial-research.md; research/reports/2026-09-10-msft-reverse-dcf.md; research/reports/2026-09-17-msft-pe-triangulation-lab.md; research/lab-11-sensitivity/lab-11-submission.md; models/dcf.py; docs/executed-output.txt.